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Examiners' Report
Summer 2026

International GCSE Business 4BS1 01R

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Summer 2026

Publications Code 4BS1 01R

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Introduction

This report gives feedback on Paper 1 (4BS0 01R) 'Investigating small businesses'. It should be used by centres as a critical document to enhance both teacher and candidate understanding of the core skills that are under test in each type of question. It should be used as a vital part of exam preparation because it shows the approach taken by candidates in answering each style of question used within the examination. Please do ensure it is used in the classroom, since the purpose of this report is that it should not be hidden away for the exclusive use of teachers.

This paper focused on Spud Bros, a business that sells hot baked potatoes. They have millions of followers on social media and customers travel from all over the world to taste its famous potatoes.

Candidates generally found this examination and case study accessible and were able to complete it within the given time. For the majority of questions, candidates demonstrated good preparation, effectively applying their knowledge, and were able to analyse and evaluate their answers. Many candidates displayed a strong understanding of business concepts gained from studying the course, which was often evident in their responses, showing realistic knowledge of the Spud Bros scenario.

However, a persistent challenge for a significant number of candidates, as observed in previous examination series, lies with "State" and "Outline" questions. It is crucial that answers to these questions are directly related to the provided Spud Bros scenario, and candidates should avoid simply rephrasing parts of the question in their responses.

To enhance future performance, centres are strongly advised to encourage learners to:

- Revisit the Scenario: Emphasise practising answers directly within the context of the provided business scenario.
- Understand Command Words: Work closely with learners to ensure a clear understanding of command words, such as those outlined on page 31 of the specification. A lack of this understanding frequently led to lost marks. For instance, an "Analysis" question requires more than just detailed knowledge to earn the available marks, and a "Justify" question seeks the application of information, analysis, and evaluation.
- Practise Extended Answers: For analysis (AO3) and evaluation (AO4) questions, encourage candidates to write extended answers that effectively utilise the information presented in the paper.

Centres should also note that the mark scheme includes Assessment Objectives (AO) for all questions, with a detailed breakdown available on page 7 of the 'Getting Started to Teach' guide. This resource can assist in preparing learners for future examinations.

Furthermore, it is important to remember that questions can be drawn from any part of the specification. Candidates should ensure all sections are revised thoroughly, to avoid disadvantaging themselves. Some responses indicated that certain candidates had not covered the entire specification.

Question 1(b)

The was the first 'define' question on the paper. This question saw many candidates provide a clear definition of the term 'secondary sector'. However, some candidates did confuse the term with secondary market research. Centres are reminded that any area of the specification can appear in the paper.

(b) Define the term **secondary sector**.

Collected data that's already avaliable from the competitor or gavernment. (1)

ResultsPlus
Examiner Comments

This candidate does not demonstrate clear knowledge of the term 'secondary sector'.
Total: 0 marks

(b) Define the term **secondary sector**.

The production process involving the conversion of raw materials into finished and semi-finished goods. (1)

ResultsPlus
Examiner Comments

This candidate shows good knowledge of the term 'secondary sector'.
Total: 1 mark

Question 1(c)

This was a question where candidates responded well, showing accurate knowledge of e-commerce, although some candidates did confuse the term with digital communication.

(c) Define the term **e-commerce.**

(1)

It is digital e-mail between business and consumers.

ResultsPlus
Examiner Comments

This candidate does not show clear knowledge: there is some confusion shown because they have discussed digital communication.
Total: 0 marks

(c) Define the term **e-commerce.**

(1)

Selling goods and services online

ResultsPlus
Examiner Comments

This candidate shows good knowledge of the term 'e-commerce'.
Total: 1 mark

Question 1(d)

The question was the first 'State' question of the paper.

The command word 'State' requires candidates to provide a contextual response to gain access to the available one mark, which is an AO2 mark.

Therefore, for this question, simply stating a reason why brand image is important is not enough to receive 1 mark. It has to be a reason why brand image is important in the context of Spud Bros.

(d) State **one** reason why brand image is important to Spud Bros.

(1)

it could increase amount of customers

ResultsPlus

Examiner Comments

This candidate only offers a reason why brand image is important to Spud Bros: there is no applied context.
Total: 0 marks

(d) State **one** reason why brand image is important to Spud Bros.

(1)

Having high ~~High~~ brand image can lead to new customers interest to try the potato from Spud Bros.

ResultsPlus

Examiner Comments

This candidate provides a reason why brand image is important and also provides clear context within their response.
Total: 1 mark

Question 1(e)

This was the first 'calculate' question of the paper.

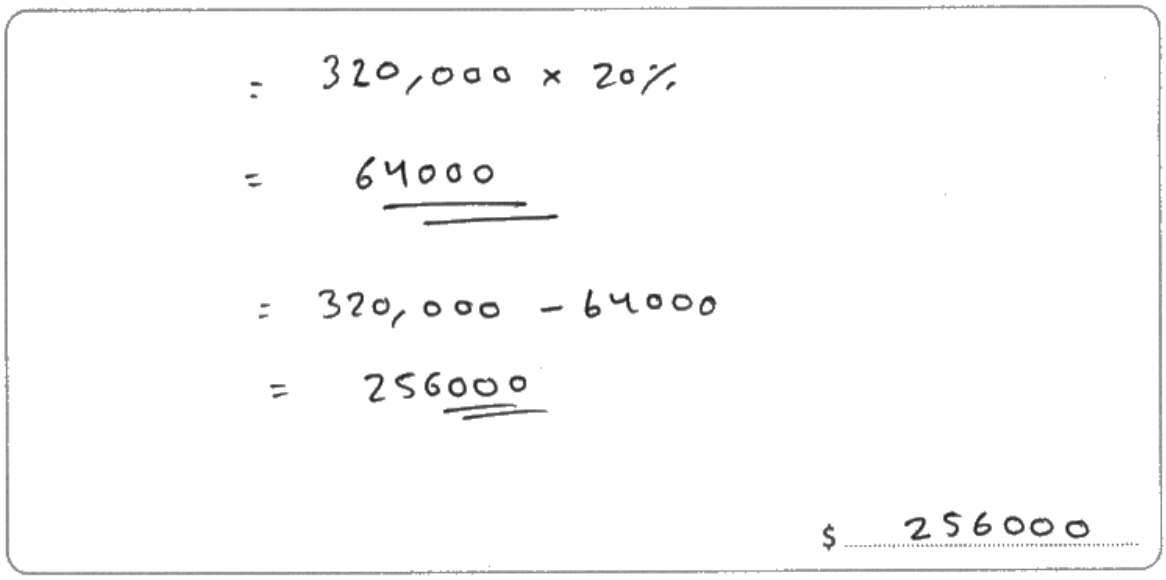
This question required candidates to calculate the retained profit left in the business following their expansion.

A business had retained profits of $320 000.

It used 20% of the retained profit for expansion of the business.

(e) Calculate the retained profit left in the business following the expansion. You are advised to show your working.

(2)



ResultsPlus

Examiner Comments

This is the correct answer and is calculated accurately.
Total: 2 marks

A business had retained profits of $320 000.

It used 20% of the retained profit for expansion of the business.

(e) Calculate the retained profit left in the business following the expansion. You are advised to show your working.

(2)

320 000 × 20% = 64000

$ 64000

ResultsPlus

Examiner Comments

This response illustrates the calculated 20% used retained profit.
However the question requires candidates to calculate the remaining retained profit.
Total: 1 mark

Question 1(f)

The was the first of the 'explain' questions in the paper.

This question was answered quite well where candidates took a number of routes to explain one advantage for a business of having a flat organisational structure.

In order to gain access to all marks, candidates were required to identify an advantage and then develop their response logically.

(f) Explain **one** advantage for a business of having a flat organisational structure.

(3)

Everyone can suggest ideas and discusseet difficult ideas and improvent that would lead to a variety of ideas.

ResultsPlus

Examiner Comments

This response is generic and the benefit is not specific to a flat organisational structure.
Total: 0 marks

(f) Explain **one** advantage for a business of having a flat organisational structure.

(3)

One advantage is it can make the communication more efficient. Because the flat organisational structure have less layers that the managers should talk with. This means the information that the manager want to talk will not be changed meaning. So the time cost will be less, and the mistakes in the work will decrease.

ResultsPlus

Examiner Comments

This is a good response where the candidate clearly understands this topic area. They are able to identify the advantage as 'can make communication more efficient' and then are able to explain this advantage by using a good knowledge of the topic area followed with a logical development of its impact.
Total: 3 marks

Question 1(g)

This was an 'analyse' question that required candidates to analyse the disadvantages for Spud Bros of using sponsorship.

The Assessment Objectives (AO) being assessed for this command word were AO2 and AO3, therefore candidates were required to analyse in a contextual manner. Examiners will place the response with the best-fit level looking at how well the level descriptors have been met by candidates.

Examiners are not looking for candidates to have a specific number of linked strands within their response: responses are marked holistically and then placed within the most suitable level.

A significant proportion of candidates was able to make some contextual references, whilst discussing the drawbacks of sponsorship.

In 2027, Spud Bros will sponsor Preston North End football club. The club is a professional team that competes in the English Football League.

(g) Analyse the disadvantages for Spud Bros of using sponsorship.

(6)

One disadvantage of the ~~UK~~ Preston potatoes shop sponsoring for the football club is it will increase cost. This is because Jacob and Harley Nelson will have to pay a lot of money to have their name shown or logos shown in the jersey or stadium itself. Therefore, if the ~~pro~~ profit isn't ~~gener~~ generated quickly enough from baked potatoes they will have to ~~find an external source~~ take out a bank loan. Therefore the business based in Preston will be in debt.

Another disadvantage of the business founded in 1955 using sponsorship is the brand image can be ruined if something bad happen. This is because the Preston North End foot ball club's players wearing jersey with the ~~business~~ potatoes - selling ~~potatoes~~ business ~~potatoes~~ on it. Therefore, if ~~they~~ the football team did inappropriate things customers might not want to buy from these flavoured baked potatoes stand because they are supporting it. As a result, sales will decrease for Jacob and Harley.

ResultsPlus

Examiner Comments

This candidate shows they know comprehensively what sponsorship is and covers fully two logical disadvantages to Spud Bros, whilst showing thorough context.
The context used was not only from the stem of the question but also from the scenario throughout the entirety of the answer.
Total: 6 marks

Question 2(a)

This was a 'state' question, where candidates responses should be contextualised to gain access to the mark for this AO2 question. Candidates who responded well to this question provided a clear current asset, whilst ensuring it was in the context of Spud Bros.

2 (a) State **one** current asset Spud Bros may have.

(1)

Cash

ResultsPlus

Examiner Comments

This candidate provides a current asset, however they do not apply this to the context of Spud Bros.
Total: 0 marks

2 (a) State **one** current asset Spud Bros may have.

(1)

Cash, they make from selling their baked potatoes.

ResultsPlus

Examiner Comments

This candidate provides a current asset that is in the context of Spud Bros.
Total: 1 mark

Question 2(b)

Centres are reminded that 'State' questions must contain context in relation to the given business scenario. This question saw many candidates state one correct reason why Spud Bros motivates their employees. A good proportion was also able to contextualise their response, allowing them to achieve the A02 mark.

(b) State **one** reason why Spud Bros motivates its employees.

(1)

To increase the output results of the business, so the Spud Bros will gain more sales & profits.

ResultsPlus
Examiner Comments

This is a correct answer but it is not contextualised to Spud Bros.
Total: 0 marks

(b) State **one** reason why Spud Bros motivates its employees.

(1)

Spud Bros motivates its employees so that they would provide quality services to customers by putting the toppings for the potatoes in a pleasant way.

ResultsPlus
Examiner Comments

This is a correct reason why Spud Bros motivates its employees. It is also contextualised to Spud Bros.
Total: 1 mark

Question 2(c)

This 'Explain' question required candidates to provide a reason why a business calculates the break-even level of output.

The responses indicated there were some gaps in the knowledge of break-even. Those candidates who understood the concept of calculating the break-even level of output were able to identify one advantage to a business of this and then went on to explain this advantage, therefore gaining the full available marks.

Some candidates demonstrated no knowledge of break-even and therefore gained no marks.

(c) Explain **one** reason why a business calculates the break-even level of output.

(3)

A business may calculate their break-even level of output to know if ~~they're making~~ they have sufficient funds in the business. By doing this businesses will have a clear idea of what decisions to make in the future.

ResultsPlus

Examiner Comments

This response did not demonstrate any understanding of calculating the break-even level of output.
Total: 0 marks

(c) Explain **one** reason why a business calculates the break-even level of output.

(3)

A business would calculate the break-even level of output to find how many of that certain product they need to sell to be able to not have a loss and profit. From this, a business can also identify how much they are spending as the cost of making or producing the product. This helps them to be able to reduce costs of the production process, allowing the business to not have to sell an incredibly high amount of that product.

ResultsPlus

Examiner Comments

This candidate demonstrates good knowledge in stating directly that a calculation of the break-even level of output allows the business to identify 'how many sales they need to make' in order to 'not run at a loss.'
The answer is developed successfully and logically beyond the point and two development strands, and therefore meets the demands of the question.
Total: 3 marks

(c) Explain **one** reason why a business calculates the break-even level of output.

(3)

The business must check their costs, outputs, an profit and others to compared and be sure that they ~~do not~~ get enough revenue to lead to compete with other businesses.

ResultsPlus

Examiner Comments

This response did not demonstrate any understanding of calculating the break-even level of output.
Total: 0 marks

Question 2(d)

This was the third 'explain' question in the paper.

This question required candidates to explain one reason why a business would segment the market by income. In order to gain access to all marks, candidates were required to identify a valid reason and then further develop the response with two logical links, for 3 marks.

There was a number of responses that discussed segmentation generically and was not linked to income. Such responses received no marks.

(d) Explain **one** reason why a business would segment the market by income.

(3)

It is because it can calculate their income even though if they wanted to spread their business widely or not.

ResultsPlus

Examiner Comments

This candidate demonstrates no valid reason linked to segmenting the market by income.
Total: 0 marks

(d) Explain **one** reason why a business would segment the market by income.

(3)

A business may segment a market by income to target higher-income customers. This enables business to sell premium products to richer customers, allowing them to charge higher prices. As a result, business can increase profit margins

ResultsPlus

Examiner Comments

This candidate identifies a valid reason correctly why a business would segment the market by income.
The candidate uses a technique that demonstrates the process of segmenting the market.
They follow this with the business' ability then to 'charge higher prices' by targeting 'higher income customers' and then 'selling 'premium products to richer customers.'
Total: 3 marks

Question 2(e)

This was the final 'explain' question in the paper.

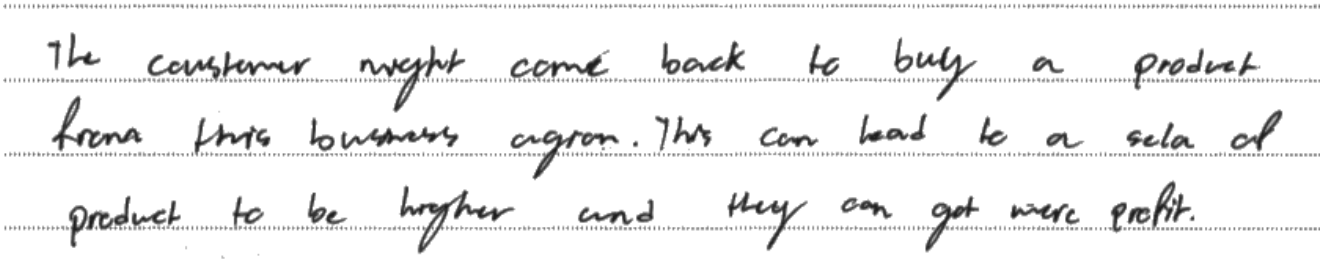
This question required candidates to explain one benefit to a business from productivity improvements.

In order to gain access to all marks candidates were required to identify a valid benefit and then further develop the response with two logical links, for 3 marks.

The candidates that had a clear understanding of productivity improvements usually led to appropriate development links.

(e) Explain **one** benefit to a business from productivity improvements.

(3)



ResultsPlus

Examiner Comments

This candidate does not illustrate any knowledge of productivity improvements.
Total: 0 marks

(e) Explain **one** benefit to a business from productivity improvements.

(3)

~~Productivity means the~~ Improved productivity means more goods ~~and~~ or services produced in a specific time period. ~~[redacted]~~ so, the effecient of the business would increase. Therefore, the business could produce more goods and services than before in a specific period, leadly to ~~higher level of output~~ decreased ~~expense~~ cost of production. If sales revenue stays the same, the business may be able to earn more profit.

ResultsPlus

Examiner Comments

This response shows good knowledge of productivity improvements and links this directly to 'efficiency'.
The candidate then goes on to develop this successfully by stating they 'could produce more goods and services than before in a specific time period' and then leads to a 'decreased cost of production.'
Total: 3 marks

Question 2(f)

This was a 'justify' question, which assesses the Assessment Objectives AO2, AO3 and AO4. There were no direct knowledge marks.

As with all levels-based responses, responses were marked holistically to see how well the response matched the levels descriptors on the mark scheme.

Candidates could choose to evaluate the advantages and disadvantages of one option and then provide a conclusion, or they could choose to evaluate both options and then provide a conclusion; all must in the context of Spud Bros.

Some candidates accessed Level 3 by considering their chosen option carefully in the context of Spud Bros with how the finance would support the expansion plans; offering strong analysis, application and a reasoned judgement.

In order to demonstrate appropriate analytical and evaluative insight, an understanding of the options was necessary. Some candidates used generic analysis that could apply to multiple sources of finances.

The brothers, Jacob and Harley, want to expand Spud Bros throughout the UK and to other countries.

They are considering two types of finance for the expansion:

Option 1: venture capital

Option 2: crowdfunding.

(f) Justify which **one** of these two options the brothers should choose.

help (9)

crowdfunding is when people donate for a reason such as ^expanding a business.

One advantage of crowdfunding is that you don't need to pay interest. This means that because the people are giving the money out of free will they don't get paid interest^ or anything back. This leads to less costs needing to be payed by spud bros and therefore leads to spud bros having more money to spend on things such as expanding/renovating the van or research and and development of new baked potato recipes that people like.

Another advantage of crowdfunding is that ~~is~~ It is quick and easy. Setting up a crowd fund in websites such as go fund me can be very simple and straighforward. this leads to less time being spent to ~~go~~ set up the funding and more time can be used on other things such as improving baked potato recipes and flavouring sauces that is put on the baked potato.

one disadvantage of crowdfunding is that perhaps It can be hard to ~~get~~ raise money as the people who donate are not getting anything in return leading to less donations. This means that the Spud Bros will get less money and less money means ~~less~~ less expan they probably can't do the expanding

throughout UK plan leading to loss of potential customers and loss of potential new markets.

I believe that Spud Bros should use crowdfunding because they won't have to pay anyone in return unlike in crowdfunding where you have to return the money and pay interest as well.

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Examiner Comments

This candidate chooses to look at one option, which is acceptable and demonstrates effectively the advantages and disadvantages of crowdfunding in the context of Spud Bros.
The response shows logical chains of reasoning that are contextualised. There is a judgement made that repeats the financial implication that was argued previously in the answer.
Total: 8 marks

ResultsPlus

Examiner Tip

Candidates should avoid only repeating their previous arguments in their conclusion.

Question 3(a)

This question saw many candidates provide a clear definition of the term 'niche marketing'; however some candidates showed little knowledge of the term and therefore could not access the question. Centres are reminded that any area of the specification can appear in the paper.

3 (a) Define the term **niche marketing.**

(1)

small market within a large market

ResultsPlus
Examiner Comments

This candidate shows knowledge of the term 'niche market', however they do not show knowledge of niche marketing.
Total: 0 marks

3 (a) Define the term **niche marketing.**

(1)

smaller market, targeting specific groups of customers with specific products

ResultsPlus
Examiner Comments

This candidate shows good knowledge of the term 'niche marketing'.
Total: 1 mark

Question 3(b)

This was an 'outline' question that assessed AO2.

To receive 1 mark candidates must identify why cash was important to the business. For 2 marks the response needed to show development, whilst also linking back to the context of Spud Bros.

Without a developed contextualised response candidates could access the full marks.

(b) Outline **one** reason why cash is important to Spud Bros.

(2)

To pay their suppliers on time, so they retain them.

ResultsPlus

Examiner Comments

This response indicates a clear point with development, however there is no contextual link to Spud Bros.
Total: 1 mark

(b) Outline **one** reason why cash is important to Spud Bros.

(2)

Cash helps Spud Bros in paying back their suppliers on time which can lead to a reliable and constant supply of "potatoes" and "toppings".

ResultsPlus

Examiner Comments

This response includes an appropriate reason why cash is important, with context in the form of 'potatoes' and 'toppings', which is also developed.
Total: 2 marks

Question 3(c)

This was a 'calculate' question: candidates were required to calculate the percentage increase in the minimum wage between 2024 and 2025.

This is a good example of why centres should remind candidates to show their working-out.

Whilst this candidate has not calculated the final answer correctly, due to their working out, and as per the mark scheme, they have gained access to 1 mark.

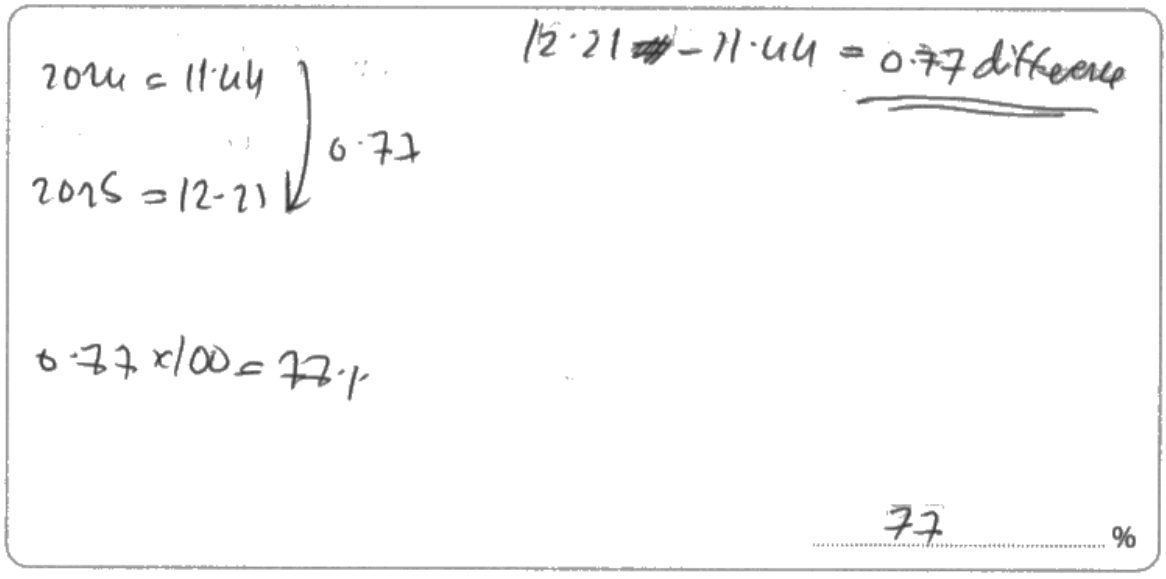
Figure 2 shows the minimum wage for workers aged 21 and over in the UK in 2024 and 2025.

Year	Minimum wage (£)
2024	11.44
2025	12.21

Figure 2

(c) Using Figure 2, calculate, to **two** decimal places, the percentage increase in the minimum wage between 2024 and 2025. You are advised to show your working.

(2)



ResultsPlus

Examiner Comments

This candidate has calculated correctly the £0.77 difference in minimum wage between 2024 and 2025.
However, this candidate has not been able to calculate the *percentage* change.
Total: 1 mark

ResultsPlus

Examiner Tip

Remember to show your working-out.

Figure 2 shows the minimum wage for workers aged 21 and over in the UK in 2024 and 2025.

Year	Minimum wage (£)
2024	11.44
2025	12.21

Figure 2

(c) Using Figure 2, calculate, to **two** decimal places, the percentage increase in the minimum wage between 2024 and 2025. You are advised to show your working.

(2)

$\frac{12.21 - 11.44}{11.44} \times 100\%$

$= 6.73\%$

6.73 %

ResultsPlus

Examiner Comments

This response calculates effectively the percentage change, to 2 decimal places.
Total: 2 marks

Question 3(d)

This was an 'analyse' question, which required candidates to analyse the advantages for Spud Bros of using viral advertising.

The Assessment Objectives being assessed for this command word were AO2 and AO3, therefore candidates were required to analyse in a contextual manner.

Responses will be placed in the best-fit level, looking at how well the levels descriptors have been met by candidates. Examiners are not looking for candidates to have a specific number of linked strands within their response: responses are marked holistically and then placed within the most suitable level.

Some candidates did not demonstrate an understanding of viral advertising when discussing advantages.

(d) Analyse the advantages for Spud Bros of using viral advertising.

(6)

Viral advertising is a way to spread information for other people.
Spud Bros use viral advertising can save money.
Because viral advertising is cheaper than TV advertising.
Thus, Spud Bros need not to pay more money in advertising.
However, through advantages, more number of people will know Spud Bros and their goods. They may buy Spud Bros goods. Thus, Spud Bros can have increase in profit.

ResultsPlus

Examiner Comments

This candidate demonstrates two viable advantages that show some development. However, the answer is not contextualised at all.
Total: 2 marks

(d) Analyse the advantages for Spud Bros of using viral advertising.

(6)

By using viral advertising, it is relatively cheap and effective. This is because social media pages (where Spud Bros operate on CTikTok and Instagram) is free to use. Therefore, people who follow Spud Bros may share the hot baked potatoes onto their accounts for a lot of more people to see. As a result, these people may be interested and go try out the potatoes, thus increasing market share and revenues. Moreover, viral advertising may efficiently increase Spud Bros' brand awareness. People outside of the UK when Spud Bros is based in may be interested in trying out the different toppings with the hot baked potatoes. As a result, these potential customers may raise cash for Spud Bros, enabling them to expand internationally into the US and Canada, thus increasing overall market share and possibly revenues.

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Examiner Comments

This candidate shows they understand what viral marketing is and makes appropriate advantages centred around cost and the increased reach of using social media platforms.
Context is present throughout the answer and the candidate discusses links to Spud Bros growth plans, the nature of their business and their specific social media platforms used.
Total: 6 marks

ResultsPlus

Examiner Tip

Use the scenario, as well as the stem of the question, to reduce repetition of context.

Question 3(e)

This was a 'justify' question that assessed AOs AO2, AO3 and AO4. There were no direct knowledge marks.

As with all levels-based questions, responses were marked holistically to see how well the response matched the levels descriptors on the mark scheme.

Candidates were required to choose which form of market research would be appropriate in Spud Bros' search to obtain feedback on their new toppings.

Candidates could choose to evaluate the advantages and disadvantages of one option and then provide a conclusion, or they could choose to evaluate both options and then provide a conclusion; all must in the context of Spud Bros.

In order to demonstrate appropriate analytical and evaluative insight, an understanding of the options was necessary. Some candidates used generic analysis that could apply to multiple methods of market research; marks could only be given when knowledge of the research type was clear.

ud Bros offers a range of toppings for its baked potatoes.

e owners plan to carry out market research to gather customer feedback on new ppings. They are considering two options:

ption 1: use questionnaires to collect customer views

ption 2: offer free samples of new toppings and ask customers for their opinions.

Justify which **one** of these two options the owners should choose to collect feedback from customers.

(9)

ng ~~[illegible]~~ questionnaires to collect customer views allow Spud Bros to understand what customers want. means that Spud Bros may create or improve new toppings based on the data gathered from survey. As a result Spud Bros can improve existing ings and create new toppings based on demand and dback.

ering free samples will allow Spud Bros to get the most ct feedback. This means that customers will be able test the toppings firsthand and give the most urate opinion. As a result, Spud Bros will able to make improvements and changes ed on firsthand experience and opinions.

all, Spud Bros should choose questionnaires. This is use it is a faster and cheaper way to collect . However, offering samples will give a more direct wer based on actual customer experience.

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Examiner Comments

This candidate aims to discuss both methods of research.
The option of free samples to obtain feedback illustrates references to the method, which helps to provide some rewardable analysis. There is limited application throughout.
Total: 3 marks

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Examiner Tip

Candidates may access A04 marks by offering drawbacks to the same option for which they have given the advantages.
A04 may also be provided by offering direct contrasting points between the options.

Spud Bros offers a range of toppings for its baked potatoes.

The owners plan to carry out market research to gather customer feedback on new toppings. They are considering two options:

Option 1: use questionnaires to collect customer views

Option 2: offer free samples of new toppings and ask customers for their opinions.

(e) Justify which **one** of these two options the owners should choose to collect feedback from customers.

(9)

Market research refers to the presentation, analysis of information ~~about~~ about marketing and the consumption of goods and services.

Spud Bros choosing option 2 we may be ~~an~~ be efficient decision because offering free samples to customers and asking their opinion will give them accurate results because ~~our~~ customers are able to experience the taste and tell exactly how the feel ~~about~~ about it. This helps spud Bros workout how many liked the different toppings such as cheese, ~~chie~~ tomatoes or chillie. As a result, spud Bros can launch the ~~topic~~ topping that had the most rating and increase customer satisfaction. This means, sales revenue will increase improving profit.

Furthermore, they can also ~~identify~~ calculate which ~~toppings had the most paramount~~ free samples toppings were taken by customers that helps them measure if topping would be more sold or less profitable. As a result, Spud Bros can make decisions to improve their ~~toppings~~ out and offer the most demand one leading to more sales.

However, offering several samples can be costly because they will have to served in more quantity. This means, Spud Bros has to buy ingredients for these toppings and expense will be high. As a result, Spud Bros profit will be lowered leading to less ~~investme~~ improvements in the menu.

To conclude, option 2 allows spud Bros to identify which toppings will be demanded **(Total for Question 3 = 20 marks)**

the most and ~~of~~ customers real accurate opinion because they had a taste test. But it depends on how much they have ~~spent~~ in these ~~expenditure~~ sample. But if managed well ~~not~~ option 2 would help spud bros launch the ~~r~~ customer prefered toppings.

ResultsPlus

Examiner Comments

This response shows strong analysis, application and evaluation.
This candidate shows detailed understanding of how free samples could help Spud Bros obtain appropriate feedback regarding new toppings.
They have included context throughout their response with logical chains of reasoning and make an appropriate balancing point that is re-addressed in their conclusion.
Total: 8 marks

Question 4(a)

This was a 'calculate' question that required candidates to calculate the total costs for the business in 2025.

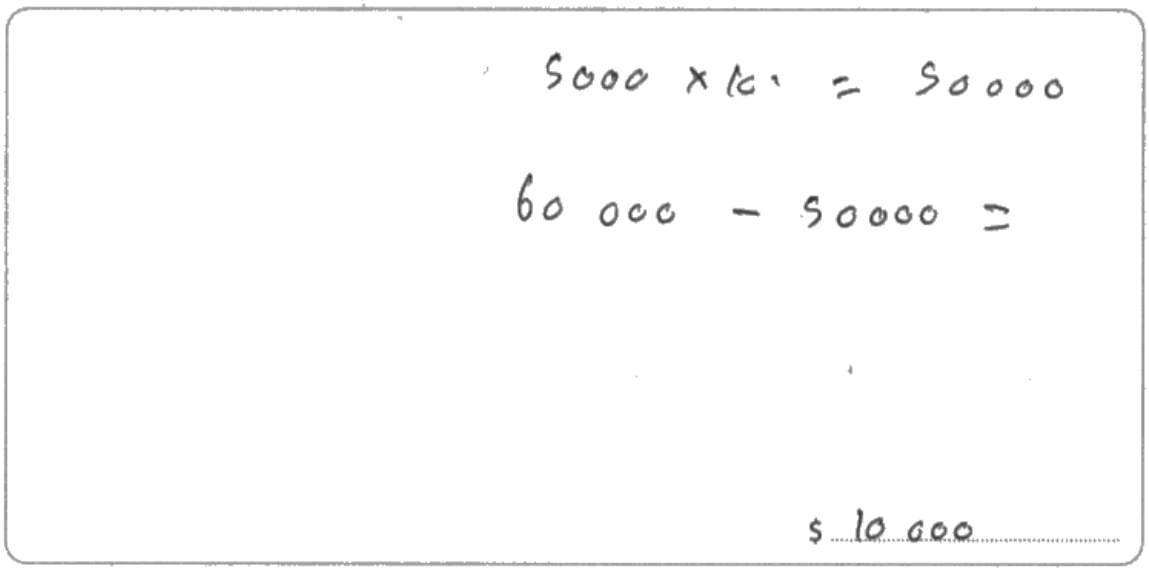
Figure 3 shows the costs and output of a business in 2025.

Total fixed costs	$60 000
Variable costs per unit	$10
Quantity of units produced	5 000

Figure 3

4 (a) Using Figure 3, calculate the total costs for the business in 2025. You are advised to show your working.

(2)



ResultsPlus

Examiner Comments

Because the final answer is incorrect, examiners are instructed to look through the working out to see if a mark can be allocated for working out.
This candidate has calculated the total variable costs correctly.
Total: 1 mark

Figure 3 shows the costs and output of a business in 2025.

Total fixed costs	$60 000
Variable costs per unit	$10
Quantity of units produced	5 000

Figure 3

4 (a) Using Figure 3, calculate the total costs for the business in 2025. You are advised to show your working.

(2)

Total Variable Cost = $10 × 5 000
= $50 000
Total Cost = $60 000 + $50 000
= $110 000

$ 110 000

ResultsPlus
Examiner Comments

This response has calculates the total costs for the business in 2025 correctly.
Total: 2 marks

ResultsPlus
Examiner Tip

Show your working, as demonstrated here.

Question 4(b)

The final 'analyse' question on the paper required candidates to analyse the benefits of growth for the owners of Spud Bros.

The Assessment Objectives being assessed for this command word were AO2 and AO3, therefore candidates are required to analyse in a contextual manner.

Examiners will place the response within the best-fit level, looking at how well the level descriptors have been met by candidates. Examiners are not looking for candidates to have a specific number of linked strands within their response; responses are marked holistically and then placed within the most suitable level.

Jacob and Harley want to expand the number of Spud Bros outlets throughout the UK and internationally.

(b) Analyse the benefits of growth for the owners of Spud Bros.

(6)

The growth of Spud Bros can increase the number of customers as they will be ~~there~~ outlets throughout the UK and internationally. More customers will lead to more sales and the owners will recrere a higher profit generated.

The growth of Spud Bros can also ~~gener~~ allows the owner recrere more profit as it expand their reputation will increase, attracting customers and sales

ResultsPlus

Examiner Comments

This response shows a level of understanding of growth and the benefits are developed logically.
The candidate references the information from the stem of the question to illustrate some context.
Total: 3 marks

Jacob and Harley want to expand the number of Spud Bros outlets throughout the UK and internationally.

(b) Analyse the benefits of growth for the owners of Spud Bros.

(6)

Increase ~~market brand recognition~~ customers. By expanding outlets in UK and internationally, more people can find out about Spud Bros' outlets, and more people would try out the ~~potato~~ baked potatoes produced by ~~Spud~~ Spud Bros, increasing the amount of customers. This would lead to an increased number of sales and brand recognition of Spud Bros's baked potatoes, making Spud Bros more successful.

Economies of scale. By expanding Spud Bros, the supplier of ~~potato co~~ potatoes could sell ~~more in~~ the potatoes at a lower price per unit to Spud Bros, due to the larger numbers of potatoes needed by Spud Bros, and ~~a~~ due to the increase in size, leading to lower costs. This can decrease Spud ~~Bro's~~ Bros' spendings on assets like potatoes, making spud Bros profit more from lowered costs, providing even more money for further expansion or making new potato products.

ResultsPlus

Examiner Comments

This candidate analyses the benefits of growth comprehensively.
The application is centred around the expansion plans and products they sell, baked potatoes.
Total: 5 marks

Question 4(c)

Centres are reminded that this is the only levels-based question in the paper that is equally weighted across all four assessment objectives; AO1–knowledge, AO2–application, AO3–analysis and AO4–evaluation. It was pleasing to see that most candidates made an attempt at this question.

Candidates at Level 1 made some attempt at the question and were able to make basic statements about social objectives, often with very little or no context. Those candidates who accessed Level 3 considered the importance of social objectives, provided balance in the context of Spud Bros and the impact they have on the business. Then they linked their points together in a logical order and were able to conclude their answer with a well-balanced and justified argument.

Spud Bros takes part in a range of charity events to support the local community and help sick children across the UK. Every Friday, it provides free meals for homeless people in the local area.

(c) Evaluate the extent to which social objectives may contribute to the success of Spud Bros. You should use the information provided as well as your own knowledge of business.

(12)

~~Social objectives gives them a better br~~

So

spud bros helping out the homeless enables them to have a better brand reputation. This is because spud bros can share this on social media and explain to the ~~cos~~ & customers how some of spud bros Profits go to charity. ~~This makes customers want to spend more to help out~~ This means if spud bro has compeitiors it can out beat them and spud bro can stand out to customer.

Another way spud bro helping out the homeless helps the business success is that how that spuds

bros customers know that spud bro help out the homeless from their brand image, customers will want to spend more as they know part of their costs go to ~~the~~ ~~he~~ food for the ~~nee~~ homeless. This means spud bro will get an increase in sales, which leads to an increase in profit.

Overall spud bros using social objective allows the business to have more success as customers know and want to help the unfortunate.

ResultsPlus

Examiner Comments

This example shows that the candidate understands social objectives and the benefits it brings in the context of Spud Bros.
Total: 6 marks

Spud Bros takes part in a range of charity events to support the local community and help sick children across the UK. Every Friday, it provides free meals for homeless people in the local area.

(c) Evaluate the extent to which social objectives may contribute to the success of Spud Bros. You should use the information provided as well as your own knowledge of business.

(12)

Social objectives are aims to improve human or environmental well-being, and Spud Bros could build a better brand image and attract investors by having social objectives.

Firstly, Spud Bros takes part in different charity events to support the local community and help sick children. This kind act could build a better brand image of Spud Bros. Their kind act of charity or providing free baked potatos to the poor could be spread throughout social media platforms like Tiktok or instagram, people who received their help would also comment online, which builds a good reputation of Spud Bros ~~and~~ and allows the public to easily recognise Spud Bros from other potato businesses, and increases their competitiveness and sales as people would be interested in purchasing Spud Bro's potatos as they appreciate their kind act and charity work.

Moreover, Spud Bros could attract new investors by having these social objectives. Some large business also with social objectives like Red Cross may like to support Spud Bros to continue to take part in charity events and ~~to~~ support those in need by investing Spud Bros, which increases Spud Bro's source of finance, where they could have more money to ~~in recruit more well trained c~~ invest in new toppings or to ~~a~~ advertise on TV, or ~~can't~~ reduces their cost as they provide free meals for homeless. People may also be more willing to contribute in the crowdfunding and support this kind business to expand

and help more people, allowing Spud Bros to gain more revenue.

However, as they provide free meals each friday to the homeless, it may ~~cause a huge~~ increase their cost significantly, as they need to purchase many potatos or toppings like vegetables to make the meals. This huge cost causes Spud Bros to gain less profit which do not benefit Spud Bros from expanding globally. Workers may also ~~be~~ have an increase in workload as they do not just need to ~~m~~ produce potatos to be sold, but also to make free meals each Friday, which may lead to demotivation as they get tired.

In conclusion, the social objectives could bring ~~many~~ more benefits to Spud Bros as it benefits it to have a better reputation, attracting customers to recognise and support their business, raising sales, also attracting new investors and receiving more finance. Although it causes a huge cost to provide free meal, the increase in solles due to support of ~~to~~ customers may cover the cost in long term and although it adds workload for workers, they may also feel motivated as they take part in doing charity, thus being more motivated to work with more productivity.

ResultsPlus

Examiner Comments

This response shows that the candidate understands how social objectives have contributed to the success of Spud Bros.
They offer balance in their argument with appropriate levels of context throughout the response.
Total: 11 marks

Paper Summary

Based on their responses in this examination, candidates are offered the following advice:

Key Advice for Candidates and Centres:

To maximise performance in this paper, candidates and centres should consider the following:

Time Management and Question Comprehension:

- Avoid repeating the question in the first line of a response; this is unnecessary and wastes valuable time and space.
- Read each question carefully before attempting to answer it, to ensure full comprehension of what is being asked.
- Always check the specific requirements of a question, such as whether it asks for two decimal points or a currency format for numerical answers.

Responding to Specific Question Types:

- "State" a nd "Outline" q uestions: These questions must include information from the scenario (Spud Bros) to gain full marks. Avoid simply repeating information from the question itself.
- "Explain" q uestions: These require a full explanation of the point being made.
- "Analysis" questions: Giving detailed knowledge alone will not gain the marks available. These questions require a more in-depth analytical response.
- "Justify" q uestions: While it is acceptable to provide evaluative comments on both options, these questions do not require consideration of both options.

Developing Answers and Context:

- Aim to develop answers thoroughly using connective words such as ‘because’, 'therefore', and 'leads to'. This helps to expand and strengthen the points made in the response.
- Ensure that answers, especially for "State" and "Outline" questions, are consistently rooted in the provided case study scenario.

Calculations and Financial Terminology:

- For calculation questions, include all working out in the space provided and write the final answer on the dotted line at the bottom of the box.
- Ensure a clear understanding of financial terms and that all necessary formulae not provided in the paper are learnt.

Understanding Assessment Objectives (AOs) and Specification Coverage:

- All questions are marked against the Assessment Objectives (AOs). It is beneficial to check the first word of the question to understand which AOs are being assessed (eg 'Explain' typically relates to AO1 Knowledge, while 'Analyse' involves AO2 Application and AO3 Analysis). Centres are encouraged to refer back to the specification for detailed requirements for each question type.
- Candidates should ensure all sections of the specification are covered thoroughly because questions can be drawn from any part. Some responses indicated a lack of coverage of the full specification, which can disadvantage candidates.

Grade boundaries

Grade boundaries for this, and all other papers, can be found on the website on this link:

https://qualifications.pearson.com/en/support/support-topics/results-certification/grade-boundaries.html

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